

Question 35 · Unit 2 · 8 Marks

Evaluate the effectiveness of using potential appraisal together with performance appraisal for employee development.

Introduction

Evaluate combined use versus either alone. Judgement: more effective if methods are distinct, fair and followed by action.

Detailed points

- 1. Different questions.** Performance: how well is the present job done? Potential: how far can the person go? Mixing them in one number hides information.
- 2. Avoids wrong promotions.** Excellent specialists may fail as managers. Combined use protects both the person and the organisation — a strong effectiveness argument.
- 3. Richer development paths.** High performance + high potential → leadership track; high performance + limited managerial potential → specialist excellence; low performance + high potential → coaching and role fit. One rating cannot sort this.
- 4. Fairness and motivation.** Employees understand why stretch roles go to some people. Criteria are dual, not mysterious.
- 5. Risks that reduce effectiveness.** Secret lists, biased assessors, both judgements made in five minutes by one untrained boss, no feedback. Then combined use is political and harmful.
- 6. Conditions for effectiveness.** Separate tools/time, trained assessors, feedback to the employee, career and training actions that actually follow.
- 7. Compared with performance-only.** Performance-only HRD over-invests in today's job and under-prepares tomorrow. Combined use matches Unit 1's present-and-future role objective.
- 8. Verdict.** Highly effective for development when methodologically separated and ethically transparent; otherwise ineffective or damaging.

Conclusion. Give a clear evaluation: together is better, provided quality and action. Do not praise potential appraisal blindly.